

While his death not only rendered nearly \$250 million in cash and cryptocurrencies inaccessible, since he stored them in a wallet protected by a unique key—which apparently only he knew—it also highlighted how vulnerable cryptocurrency users' money really is.

A closer look at the ledgers of the wallets revealed that he had many fake accounts within QuadrigaCX and used fake funds to buy real cryptos from other customers which he traded on other exchanges in the hope of making a quick buck. What's more distressing is that the documentary reveals that he lost all the money he siphoned off QuadrigaCX's customers, rendering the company unable to honour withdrawal requests following the 2018 cryptocurrency crash.

While Cotten's shenanigans not only left millions of people in limbo with their cryptos lost forever, it also opened a Pandora's Box of questions relating to the safety and security of crypto exchanges across the world.

"With crypto wallets that hold large sums of crypto, it is important to distribute the keys and have very clear access, backup and recovery protocols in place. Most of the popular exchanges today have highly evolved security measures and protocols in place. At CoinDCX, we have a 24-hour cooling off period, withdrawal passwords, trusted addresses, etc., which are considered best practices for security globally," says Manhar Garegrat, Executive Director of Policy and Special Projects at CoinDCX.

While so far no such default has happened in India, things are more than chaotic when it comes to cryptocurrencies. From high tax rates and a lack of regulations to payment disruptions, crypto exchanges in India are grappling with multiple challenges. Given the peculiar nature of questions surrounding cryptocurrencies, the one question that most people ask is: Is it worth

investing in crypto now?

Crypto markets are in turmoil in India and across the world. With liquidity drying up due to the Reserve Bank of India's (RBI) rate hike and the rising dollar index, trading activity in cryptos has fallen and so has its price. The US-based crypto exchange Coinbase's recent Q1 earnings report, too, shows a sharp dip in retail trading volumes. Bitcoin's year-to-date return has also come down by 40 per cent while Ethereum is down 50 per cent. Bitcoin and Ethereum are currently trading at around \$28,000 and \$2,014, down

from the highs of \$68,000 and \$4,891 in 2021. The carnage in smaller coins is much steeper. Take the price of Luna that has dropped from above \$100 a few months ago to near zero in the current price crash. While trading volumes and crypto prices are down globally, there are several domestic factors as well that put a question mark on the future of cryptocurrencies in India.

THE WALL OF PAYMENT

In India, banks and mobile wallets have stopped supporting crypto

ILLUSTRATIONS BY **RAJ VERMA**



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A REGULATORY FRAMEWORK WILL PROVIDE COMFORT TO ALL PLAYERS, AND WE WILL BE ABLE TO ENFORCE BETTER COMPLIANCE FRAMEWORKS. WE EXPECT ACCESS TO SUCH MECHANISMS SO THAT WE CAN MAKE OUR SYSTEMS MORE ROBUST AND COMPLIANT"